Investing and Decision Paralysis

Decision paralysis plays an important role in financial matters especially when you are dealing in the stock markets. The volatility of the stock markets also adds to distorted human behaviour. Most people would do nothing, or as we call it, maintain the status quo. Here are some examples of decision paralysis at work.

1. During the IT boom stocks reached new heights. This went on for over a year. Those who invested in tech stocks became wealthy. A number of us, fund managers and clients, thought that the markets were irrational and that the tech stocks were priced high. However, everybody wanted to ride the wave, confident that they would sell when the market softened. A fund manager of a leading mutual fund who also shared my opinion on the market valuations said he would sell when the tide turned. His fund had a weightage of 80 per cent in the technology sector. When the market dropped it did not go down in one go. It was gradual before the steep fall came. Actually the fund manager should have sold when the market began to weaken. He had been looking forward to such a situation, yet when the time came for him to do it he did not sell. He suffered decision paralysis and so did millions of other investors who lost their fortunes in the tech bust. It was greed that got them to that position. In chapter four I mentioned a client who made huge profits in the tech sector. I had consistently advised him to sell. He did not and suffered a loss when he liquidated.

2. We all remember the story of Unit Trust of India (UTI) the guardian to millions of Indian investors, corporates, pensioners, widows, working class, etc. Established in 1964 it was the only Indian mutual fund where Indians invested their savings. Operating in a socialistic environment the fund was open-ended but not net asset value (NAV) based. It consistently distributed dividends and the government supposedly guaranteed repayment. One could enter and exit at the prices made available by UTI itself. Liberalisation in 1991 and the entry of private and public sector mutual funds